EXECUTIVE SUMMARY

1. Introduction

a. Agency Profile

Faire was founded on November 27, 1897 and got its name in honor of its founder, Captain Miguel Faire by virtue of Executive Order No. 2390 dated February 28, 1932. During the incumbency of then Mayor Leandro Pagurayan, sometime in December of 1971, a resolution was passed changing the name Faire to Sto. Niño.

For CY 2014, the Municipality of Sto. Niño had a total of 232 personnel complement with 88 permanent, 11 elective, 3 temporary, 2 co-terminus, 8 casual and 120 job order status.

b. Scope of Audit

The audit covered the accounts and operations of the Municipality of Sto. Niño, Cagayan for CY2014 and was aimed at determining whether management presented fairly the financial statements of the Municipality in adherence to the generally accepted accounting principles; whether prevailing laws, rules and regulations have been complied with; and funds were utilized in the most efficient, effective and economical manner. Financial and compliance audits were conducted to achieve these audit objectives.

2. Financial Highlights

The highlights of the financial position, financial performance, appropriations, allotments and obligations of the Municipality for the year ended December 31, 2014 with comparative figures for CY 2013 are as follows:

	2014	2013	Increase (Decrease)
Financial Position			
Total Assets	₱173,097,994.61	₱142,648,313.43	₱30,449,681.18
Total Liabilities	49,220,498.33	39,999,478.47	9,221,019.86
Total Government Equity	123,877,496.28	102,648,834.96	21,228,661.32
Financial Performance			
Total Income	100,018,613.53	88,166,314.02	11,852,299.51
Total Expenses	73,668,334.23	76,393,779.37	(2,725,445.14)
Appropriations, Allotments and Obligations			
Total Appropriations – Current	99,844,238.00	89,163,187.00	10,681,051.00

Total Obligations	86,652,091.29	83,112,324.79	3,539,766.50
Total Appropriations - Continuing	10,911,516.80	12,362,190.68	(1,450,673.88)
Total Obligations - Continuing	528,589.22	11,186,853.37	(10,658,264.15)

The Municipality received fund transfers from other agencies totaling P14,227,560.00 and transferred funds to other agencies totaling P31,000.00 during CY 2014 with comparative figures for CY 2013, to wit:

	2014	2013	Increase (Decrease)
Funds Received from:			
National Government Agencies (NGAs)	₱11,077,560.00	₱ 3,904,360.00	₱ 7,173,200.00
Local Government Units	3,150,000.00	1,500,000.00	1,650,000.00
Non-Government Organizations/Peoples Organizations (NGOs/POs)	-	-	-
Others	-	-	-
Total	**₱14,227,560.00**	**₱ 5,404,360.00**	**₱ 8,823,200.00**
Funds Transferred to:			
NGAs	₱ -	-	₱ -
Local Government Units	31,000.00	31,000.00	-
NGOs/POs	-	-	-
Others	-	-	-
Total	**₱ 31,000.00**	**P 31,000.00**	**₱ -**

3. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the financial statements of the Municipality of Sto. Nino, Cagayan for the year ended December 31, 2014 due to the following:

a. Absence of adequate accounting and property records to support the balance of the recorded Property, Plant and Equipment (PPE) account totaling P99,929,783.27. Had adequate accounting and property records been prepared and maintained, the reliability of the recorded PPE as presented in the financial statements could have been corroborated and established.

b. Unrecognized depreciation expense of ₱9,401,179.12 on depreciable properties. Had adjustments been made to record the depreciation expense, the reported PPE and net income could have been reduced by the same amount at year-end.

c. Lack of a certified list and/or subsidiary ledgers of taxpayers to support the recorded balance of Real Property Tax (RPT) Receivable and Special Education Tax (SET) Receivable accounts totaling P5,843,314.72 and P15,744,183.18, respectively. Had these balances been set up consistent with the Manual on New Government Accounting System, the accuracy of RPT and SET Receivables could have been established.

d. Unreconciled difference of ₱3,057,456.22 between the Cash in book and bank balances due to the continued failure to prepare Bank Reconciliation Statements. Had adjustment been made to reconcile the balances, the Cash in Bank account could have been properly presented in the books at year-end.

4. Summary of Significant Observations and Recommendations

a. The acquisition of various goods and services totaling P5,272,479.82 did not pass through competitive bidding due to failure of the Bids and Awards Committee to fulfill the requirements of Republic Act No. 9184 also known as the Government Procurement Reform Act

   Management should properly plan its procurement activities and conduct competitive bidding in order to avoid violations of the Procurement Law.

b. The financial assistance transferred by the Municipality to the Liga ng Mga Barangays amounting to P900,000.00 for the implementation of various programs and projects in the various barangays of the Municipality was not duly supported by the necessary supporting documents due to Management's failure to execute a Memorandum of Agreement with the recipient agency.

   Management should execute a MOA before effecting the transfer of funds to recipient agencies.

c. Unliquidated Cash Advances to Officers and Employees accumulated to P1,968,696.42 due to Management's failure to strictly observe the rules and regulations on the granting, utilization and liquidation of cash advances.

   Direct the concerned officers and employees to immediately settle their unliquidated cash advances.

d. There was an unrecorded income of P550,123.00 representing receipt of the Municipality's *Share from Burley and Other Native Tobacco Excise Tax* due to failure of the Municipal Accountant to record in the books as at year-end.

   The Municipal Accountant should record the receipt of fund transfer from the DBM representing the Share from Tobacco Excise Tax.

5. Summary of Total Suspensions, Disallowances and Charges

The following shows the summary of suspensions, disallowances and charges as of December 31, 2014:

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	-	-	-	-	-
Disallowances					
Prior Years	P700,000.00	-	P535,000.00	P165,000.00	76.43%
Current Year	-	-	-	-	
Total	*P700,000.00*	-	*P535,000.00*	*P165,000.00*	*76.43%*
Charges					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	-	-	-	-	-

6. Status of Implementation of Prior Years' Unimplemented Audit Recommendations

Out of the 23 audit recommendations embodied in the 2013 Annual Audit Report, two were implemented, 19 were partially implemented and two were not implemented.